NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH
COURT NO. 1

ITEM No.1
CA(CAA)/1(MP)2024

Proceedings under Section 230-232

IN THE MATTER OF:

Patanwala Steel Pvt Ltd
(Transferor Company)
Riza Steel Pvt Ltd
(Transferee Company) **.....Applicants**

Order delivered on 23/02/2024

Coram:

P. Mohan Raj, Hon'ble Member(J)
Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order.

The order is pronounced in open Court *vide* separate sheet.

-sd-
KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

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P. MOHAN RAJ
MEMBER (JUDICIAL)

A. Bhadauria

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH

CA(CAA)/1(MP)2024

(An Application filed under Section 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016)

In the matter of:

Patanwala Steel Private Limited
CIN: U52100MP2020PTC051362
Having its registered office at:
63/1 Dolatganj
Indore
Madhya Pradesh- 452001

.....Applicant/Transferor Company

Riza Steel Private Limited
CIN: U74999MP2017PTC043093
Having its registered office at:
56, 1 Doulat Ganj
Indore
Madhya Pradesh- 452007

.....Applicant/Transferee Company

Order pronounced on: 23.02.2024

Coram: P. Mohan Raj, Member (J)
Kaushalendra Kumar Singh, Member (T)

Appearance:

For the Applicant Companies: Ld. PCS Manju Mundra

ORDER

1. This joint application is filed by the applicant companies namely M/s Patanwala Steel Private Limited **(Applicant Transferor Company)**, and M/s Riza Steel Private Limited **(Applicant Transferee Company)** under section 230-232 of the Companies Act, 2013 **(the Act)**, read with Companies (Compromise, Arrangements, and Amalgamations) Rules, 2016, for dispensation of meetings of shareholders of both the applicant companies, and dispensation of meetings of secured and unsecured creditors of both the applicant companies, and for considering and approving with or without modification, a composite scheme of amalgamation.

2. The registered office of the applicant companies is situated in the state of Madhya Pradesh and is under the jurisdiction of the National Company Law Tribunal, Bench in Indore.

3. Applicant Transferor Company is a Private Limited Company having CIN No. U52100MP2020PTC051362, incorporated under the provisions of the Companies Act, 2013 on 26.05.2020, with its registered office at 63/1, Dolatganj, Indore, Madhya Pradesh – 452001. The applicant transferor company is in the business of buy, sell and trade in sheet metal and its related articles. The Authorized Share Capital of the Applicant Transferor Company is Rs 4,50,00,000/- and its Issued and Subscribed Share Capital is Rs 4,50,00,000/-.

4. Applicant Transferee Company is a Private Limited Company having CIN No. U74999MP2017PTC043093, incorporated under the provisions of the Companies Act, 2013 on 11.04.2017, with its registered office at 56, 1 Doulat Ganj, Indore MP - 452007. The applicant transferee company is in the business of ironmaster, steel makers

and steel converters. The Authorized Share Capital of the applicant transferee company is Rs 3,40,00,000/- and its Issued, Subscribed and Paid-up Share Capital is Rs 3,40,00,000/-.

5. Submissions made by the applicant companies in its petition and as presented by the learned counsel are summarized here under:

(i) The purpose of this scheme of arrangement is for:

(a) Combining the business interest into a single entity and achieving a simplified corporate structure under the common management structure.

(b) Reducing the number of entities in the group thereby reducing managerial overlaps.

(c) Reducing the regulatory and legal compliances including accounting, reporting requirements, etc., and consequential reduction in administrative costs.

(ii) The Board of Directors of the applicant companies in their respective Board meeting held on 10.01.2024 passed a resolution for preparation of the proposed scheme of merger as placed before the Board and the same was unanimously approved. The applicant companies have filed the scheme and its audited balance sheets; the same is placed on record.

(iii) The accounting treatment proposed in the scheme of arrangement is in conformity with the accounting standards prescribed under section 133 of the Companies Act, 2013. The certificate from the respective statutory auditor of the applicant companies has been filed along with the application.

(iv) No investigation or proceedings under the Companies Act, 1956/2013 has been instituted or pending in relation to the applicant companies.

(v) There is no specific sectoral regulator or authority governing the business of the applicant companies which are likely to be affected by the proposed scheme of arrangement.

(vi) There will not be any adverse implications affecting the Competition in the Industry. Further, the provisions of the Competition Act, 2002 are not applicable in the present case, and therefore no notice is required to be served to the Competition Commission of India.

6. The learned counsel of the applicant companies submitted that as per the certificate of the Chartered Accountant placed on record by the applicant companies, the details of shareholders, secured creditors, and unsecured creditors are as follows:

(i) The applicant transferor company has two equity shareholders.

(ii) The applicant transferor company has one secured creditor and three unsecured creditors.

(iii) The applicant transferee company has two equity shareholders.

(iv) The applicant transferee company has one secured creditor and three unsecured creditors.

7. The learned counsel seeks directions with respect to the dispensation and convening of the meetings of the creditors and shareholders of the applicant companies as under:

(i) The meetings of the shareholders of both the applicant companies may kindly be dispensed with, in view of the consent affidavit received from all the shareholders of both the applicant companies.

(ii) The meetings of the secured and unsecured creditors of both the applicant companies may kindly be dispensed with in

view of the consent affidavit received from all the secured and unsecured creditors of both the applicant companies.

8. We have heard the learned counsel for the applicant companies and have perused the material available on record. It is noted that consent affidavit from shareholders of both the applicant companies are received and the same is also placed on record. Further, the consent affidavits of all the secured and unsecured creditors of both the applicant companies are received and placed on record. Therefore, the meetings of the shareholders, secured creditors and unsecured creditors of the applicant companies is dispensed herewith in view of the consent affidavits received from them.

9. This Tribunal, therefore, directs in compliance with sub-section (5) of section 230 and Rule 8 of the Companies (CAA) Rules, 2016, the applicant companies shall send a notice in Form No. CAA 3 along with disclosures mentioned under Rule 6 to, (i) the Central Government through the Regional Director, North-Western Region, (ii) the Registrar of Companies, Gwalior, (iii) Official Liquidator, and (iv) the Income Tax Authorities concerned, stating that the representation, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by e-mail at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representations under sub-section (5) of section 230 of the Act, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which, it will be deemed that they have no

representation to make on the proposed arrangement.

10. With the above directions, CA(CAA)/01(MP)2024 is allowed and disposed of.

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KAUSHALENDRA KUMAR SINGH	**P. MOHAN RAJ**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**

Ritika